DEALFORGE

M&A INTELLIGENCE & TRANSACTION MODELING

INVESTMENT COMMITTEE REPORT

SECTION A REPORT HEADER & TRANSACTION IDENTITY

Tata Consultancy Services (TCS) acquiring Infosys Limited (Infosys)

Jurisdiction: **Indian M&A Transaction Analysis** Analysis Date: **20 October 2026** Base Currency: **₹ Crores (INR Cr)**

EXECUTION STATUS
EXECUTABLE STRUCTURE

ECONOMIC STATUS
DILUTIVE (-4.95% Y1 A/D)

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SECTION B EXECUTIVE SUMMARY & KEY TRANSACTION METRICS

Key Transaction Metric	Modeled Value	Institutional Benchmark / Context	Status / Impact
Acquisition Premium	**20.0%**	Over target undisturbed price (₹1,132.50)	Disciplined (15–25%)
Purchase Equity Value	**₹5,51,381 Cr**	Offer price of ₹1,362.46 per share	100% Target Shares
Transaction EV	**₹5,38,356 Cr**	Includes target debt (₹9,176 Cr) less cash	Total Capital EV
Year 1 Pro Forma EPS	**₹129.28**	Vs buyer standalone EPS of ₹136.01	-4.95%
Year 1 Accretion / Dilution	**-4.95%**	Modeled fully funded transaction	DILUTIVE
Year 3 Accretion / Dilution	**-3.33%**	Full 100% synergy ramp (₹2,000 Cr)	DILUTIVE
Break-Even Gross Synergy (Y1)	**₹4,762 Cr**	Modeled: ₹660 Cr · Buffer: -₹4,102 Cr	SYNERGY DEFICIT
Execution Feasibility	**EXECUTABLE**	No funding shortfall	FULLY FUNDED

EXECUTIVE TRANSACTION DIAGNOSIS

The transaction is executable under the modeled capital structure but dilutive to Year 1 EPS (-4.95%). The deal requires approximately ₹4,762 Cr of gross annual synergy to achieve EPS break-even neutrality against modeled Year 1 synergy of ₹660 Cr.

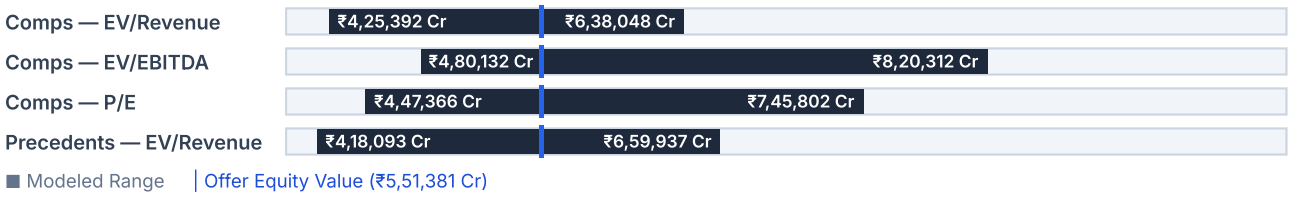
SECTION C STRATEGIC RATIONALE & COUNTERPARTY OVERVIEW

Counterparty Entity	Role	Share Price	Market Cap (₹ Cr)	Revenue (₹ Cr)	EBITDA (₹ Cr)	Net Income (₹ Cr)
Tata Consultancy Services (TCS)	Acquirer	₹2,173.70	₹7,86,464 Cr	₹2,67,021 Cr	₹72,398 Cr	₹49,210 Cr
Infosys Limited (Infosys)	Target	₹1,132.50	—	₹1,78,650 Cr	₹42,280 Cr	₹29,440 Cr

Strategic Rationale: Combines India's Tier-1 IT services leaders to achieve enterprise digital transformation scale, deep sector domain dominance, and unified client delivery capability. Modeled with a disciplined 20.0% control premium over target undisturbed market price.

SECTION D VALUATION ANALYSIS & FOOTBALL FIELD TRIANGULATION

Methodology / Metric	Low Range (₹ Cr)	Mid / Reference (₹ Cr)	High Range (₹ Cr)	Implied Offer Multiple	Institutional Methodology Notes
Comps — EV/Revenue	₹4,25,392 Cr	**₹5,32,949 Cr**	₹6,38,048 Cr	2.9x	Benchmark peer / intrinsic model
Comps — EV/EBITDA	₹4,80,132 Cr	**₹6,56,058 Cr**	₹8,20,312 Cr	15.2x	Benchmark peer / intrinsic model
Comps — P/E	₹4,47,366 Cr	**₹5,38,379 Cr**	₹7,45,802 Cr	18.3x	Benchmark peer / intrinsic model
Precedents — EV/Revenue	₹4,18,093 Cr	**₹4,60,178 Cr**	₹6,59,937 Cr	2.5x	Benchmark peer / intrinsic model
Precedents — EV/EBITDA	—	—	—	—	Target EBITDA undisclosed in precedent sample (n=4)
DCF	—	**₹5,75,299 Cr**	—	—	Benchmark peer / intrinsic model
Offer Equity Consideration (20% Premium)	—	**₹5,51,381 Cr**	—	**18.7x**	**Agreed offer equity purchase price**



SECTION E DEAL STRUCTURE & CONSIDERATION MIX

Consideration Tranche	Modeled Value (₹ Cr)	% of Total	Institutional Financing Terms
Cash Consideration (Acquirer Cash)	₹11,028 Cr	0.0%	Funded from available liquid balance (minimum ₹1,000 Cr buffer maintained)
New Debt Financing	₹3,30,829 Cr	0.6%	Senior borrowing modeled at 8.0% p.a. pre-tax interest rate
Stock Consideration (New Shares)	₹2,09,525 Cr	0.4%	Exchange ratio determined against undisturbed acquirer market price
PURCHASE EQUITY VALUE	**₹5,51,381 Cr**	**100.0%**	**Implied Transaction EV: ₹5,38,356 Cr**

SECTION F SOURCES & USES OF FUNDS & LIQUIDITY AUDIT

Application of Funds (Uses)	Amount (₹ Cr)	% of Total
Target Equity Consideration	₹5,51,381 Cr	97.1%
Refinance Target Debt	₹9,176 Cr	1.6%
Transaction Advisory & Legal Fees	₹500 Cr	0.1%
Debt Issuance Underwriting Fees	₹6,545 Cr	1.2%
TOTAL USES OF FUNDS	**₹5,67,602 Cr**	**100.0%**

Sources of Funds (Modeled)	Amount (₹ Cr)	% of Total
Acquirer Cash Applied	₹10,908 Cr	1.9%
New Debt Financing Issued	₹3,27,241 Cr	57.7%
Buyer Shares Issued (Equity)	₹2,07,252 Cr	36.5%
Target Cash Balance Swept	₹22,201 Cr	3.9%
TOTAL SOURCES OF FUNDS	**₹5,67,602 Cr**	**100.0%**

SECTION G PRO FORMA ACCRETION / DILUTION & SYNERGY REALIZATION

Earnings & Share Count Line Items	Buyer Standalone	Year 1 Combined	Year 2 Combined	Year 3 Steady-State
Buyer Standalone Net Income (₹ Cr)	₹49,210 Cr	₹49,210 Cr	₹49,210 Cr	₹49,210 Cr
Target Net Income Contribution (₹ Cr)	—	+₹29,440 Cr	+₹29,440 Cr	+₹29,440 Cr
After-Tax Operational Synergies (₹ Cr)	—	+₹495 Cr	+₹1,005 Cr	+₹1,500 Cr
After-Tax New Debt Interest Cost (₹ Cr)	—	-₹19,634 Cr	-₹19,634 Cr	-₹19,634 Cr
After-Tax Foregone Cash Yield (₹ Cr)	—	-₹409 Cr	-₹409 Cr	-₹409 Cr
Pro Forma Combined Net Income (₹ Cr)	**₹49,210 Cr**	**₹59,102 Cr**	**₹59,612 Cr**	**₹60,107 Cr**
Diluted Share Count (Cr shares)	361.81	457.15	457.15	457.15
PRO FORMA EPS (₹)	**₹136.01**	**₹129.28**	**₹130.40**	**₹131.48**
Accretion / Dilution (%)	Baseline	**-4.95%**	**-4.13%**	**-3.33%**

SECTION G SYNERGY REALIZATION & BREAK-EVEN ANALYSIS

Realization Stage	Ramp %	Pre-Tax (₹ Cr)	After-Tax (₹ Cr)
Year 1 Integration Phase	33.3%	₹660 Cr	₹495 Cr
Year 2 Maturation Phase	66.7%	₹1,340 Cr	₹1,005 Cr
Year 3 Steady-State Phase	100.0%	₹2,000 Cr	₹1,500 Cr
Modeled Annual Run-Rate	**100%**	**₹2,000 Cr**	**₹1,500 Cr**

Break-Even Neutrality Metric	Amount (₹ Cr)	Institutional Assessment
Modeled Year 1 Gross Synergy	**₹660 Cr**	Modeled baseline input
Mathematical Break-Even Requirement	**₹4,762 Cr**	Gross pre-tax required
Synergy Cushion / (Shortfall)	**-₹4,102 Cr Shortfall**	Synergy deficit against dilution
Break-Even Feasibility Assessment	—	**High synergy execution risk**

SECTION H SCENARIO & SENSITIVITY EXECUTIVE ANALYSIS

Scenario Case	Premium	Run-Rate Synergies	Borrowing Cost	Year 1 EPS	Year 1 A/D (%)	Feasibility
Base Case	20.0%	₹2,000 Cr	8.0% p.a.	₹129.28	-4.95%	EXECUTABLE
Downside (Stress)	30.0%	₹500 Cr	10.0% p.a.	₹111.10	-18.31%	EXECUTABLE
Upside (Bull)	15.0%	₹3,500 Cr	7.0% p.a.	₹138.33	+1.71%	EXECUTABLE

PRIMARY SENSITIVITY DRIVER: ACQUISITION PREMIUM (1D PROGRESSION)

Acquisition Premium Level	10.0% Premium	15.0% Premium	20.0% (Base Case)	25.0% Premium	30.0% Premium
Year 1 EPS Accretion / Dilution	-0.43%	-2.71%	-4.95%	-7.15%	-9.31%
Execution Feasibility State	Executable	Executable	Executable	Executable	Executable

Deterministic sensitivity modeling confirms that Acquisition Premium is the primary swing factor in EPS accretion. Under the active financing structure, each 5.0% increase in premium increases purchase equity value by ~₹16,300 Cr and reduces Year 1 EPS by ~2.2% (~₹2.88/sh), expanding the gross annual synergy requirement by ~₹2,200 Cr.

SECTION I KEY RISKS & INVESTMENT COMMITTEE CONSIDERATIONS

Risk Category	Risk Factor	Severity	Deterministic Diagnostic	Committee Consideration
Capital Structure	Financing Liquidity & Cash Feasibility	LOW	Available acquirer cash of ₹12,908.0 Cr fully covers cash application of ₹10,908.0 Cr.	Transaction is fully funded with no execution cash deficit.
Earnings Economics	Year 1 EPS Dilution & Synergy Hurdle	MEDIUM	Year 1 EPS is dilutive at -4.95%. Requires ₹4,762 Cr in gross annual synergy to achieve neutrality.	Downside equity valuation friction if operational synergies face delayed implementation.
Transaction Valuation	Control Premium Over Undisturbed Market	LOW	Acquisition premium modeled at 20.0% over undisturbed target price.	Acquisition premium is within disciplined institutional parameters (15%–25%).
Market Intelligence	Precedent Dataset Sample Depth	CONSIDERATION	Precedent dataset contains 4 sourced records. Target EBITDA was undisclosed in public precedent filings.	Precedent EV/EBITDA multiple is unavailable; valuation triangulation relies on trading comparables and DCF.
Valuation Robustness	DCF Discount Rate & Growth Sensitivity	CONSIDERATION	DCF implies ₹5,75,299 Cr at 12.8% WACC and 5.0% terminal growth.	Small shifts in WACC (+/- 1.0%) or perpetual growth rate produce material swings in implied equity value.

SECTION J DATA QUALITY & METHODOLOGY DISCLOSURES

COVERAGE UNIVERSE & BREADTH

- **113 Companies Covered:** Standardized multi-year dataset across BSE/NSE universe.
- **Up to 10 Years Audited History:** Financial statements sourced from audited annual filings.
- **4 Sourced Precedents:** Precedent transaction sample is small (n=4) and IT-services specific.

MODELING ASSUMPTIONS & BOUNDARIES

- **Precedent EV/EBITDA Limitation:** Target EBITDA was undisclosed in public precedent filings; EV/EBITDA is explicitly marked unavailable.
- **Standardized Tax Benchmark:** 25.0% marginal corporate tax rate applied uniformly across acquirer and target entities.
- **Deterministic Financial Engine:** Calculations strictly follow standard M&A institutional arithmetic without heuristic or probabilistic modeling.

SECTION K INVESTMENT COMMITTEE SYNTHESIS & EXECUTIVE FINDING

INVESTMENT COMMITTEE EXECUTIVE FINDING

TRANSACTION STATUS: EXECUTABLE

ECONOMIC FINDING: DILUTIVE TO YEAR 1 EPS (-4.95% A/D), requiring ₹4,762 Cr in gross annual synergy to reach break-even neutrality.

KEY SUPPORTING FACTORS

1. Disciplined 20.0% purchase premium aligns with fair market valuation benchmarks.
2. Target net income contribution of ₹29,440 Cr materially expands pro forma combined earning power.
3. Steady-state annual run-rate synergies of ₹2,000 Cr provide long-term earnings expansion.

KEY COMMITTEE CONSIDERATIONS & RISKS

1. **Synergy Realization Hurdle:** Operational integration must achieve minimum Year 1 synergy target of ₹660 Cr to maintain targeted returns.
2. **Debt Service Burden:** Annual new debt interest service of ₹26,179 Cr represents a recurring cash commitment.
3. **Integration Friction:** Large-scale counterparty integration requires strict post-close operational governance.

COMMITTEE SYNTHESIS & DIRECTIVE: Transaction requires capital restructuring to reduce debt service burden or negotiation of enhanced synergy commitments prior to final investment committee sign-off.

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Chair, Investment Committee
M&A Capital Commitments Committee